

MLC Real Return Moderate

31 October 2023

Investment objective

The portfolio aims to deliver a return of 3.5% above inflation (after management costs), subject to limiting the risk of negative returns over 5-year periods.

Features	Information
APIR code	MLC0920AU
Inception date	October 2013
Minimum suggested investment time frame	5 - 7 years
Benchmark	Composite benchmark
Income distribution frequency	Half yearly Half yearly (last Sunday of December and 30 June)
Fund size	\$414.08m

Estimated ongoing annual fees and costs as at 30/11/2023 ¹	
Estimated management fee	0.85% pa
Estimated indirect costs	0.07% pa
Estimated net transaction costs	0.03% pa
Estimated performance fee	0.04% pa
Total estimated management cost	0.99% pa

Performance ²

	3 mths %	6 mths %	1 year %	3 years % pa	5 years % pa
Total return	-2.55	-1.37	4.49	3.52	3.31
Benchmark	2.07	3.80	9.05	8.88	7.20

Performance data provided by FE fundinfo.

Investment strategy

Aiming for a particular return can help investors plan their future with more confidence. The MLC Inflation Plus portfolios don't rely just on the performance of markets to deliver returns. Instead, they're actively managed to aim for the above-inflation returns investors need, while limiting the risk of negative returns. Investing flexibly in a wide range of assets and strategies gives us many sources of return and ways to manage risk. Our portfolios also benefit from the insights of specialist investment managers from all over the world.

Quarter highlights

Key contributors to performance for the quarter ended 30 September 2023 are:

- In another volatile quarter, there were negative returns in share markets and all maturity bonds. The exposure to insurance-related investments (+4.3%) and opportunistic growth strategy / specialty finance (+2.2%) within Alternatives, generated strong positive returns that helped cushion the negative returns.
- The exposure to short maturity bonds, corporate bonds and inflation-linked bonds also contributed positively to performance. The short maturity strategy returned +1.3%, global high yield strategy returned +1.4% and the inflation-linked bond strategy returned +1.0%.

Note: Returns for the asset classes above are before fees and tax.

Performance relative to benchmark

The portfolio's objective is to deliver a return of 3.5% pa above inflation (after management costs) subject to limiting the risk of negative returns over 5 year periods. Generating returns above inflation requires the portfolio to invest at least partly in risk assets such as shares. As a result there will be times when the portfolio doesn't deliver its return objective, and the portfolio may fall in value. However, we aim for the portfolio to have less than a 15% chance of a negative return over a 5 year period. To control the risk of negative returns we flexibly adjust the portfolio's asset allocation, investing in a combination of assets that provide an attractive potential return for the risk taken.

Over the 5 years to 30 September 2023 the portfolio has underperformed its objective by 3.8% pa due to our positioning to protect the portfolio from negative returns.

Manager weightings

Asset class	Investment manager/s strategy	Manager style/strategy description	Asset allocation %
Australian shares	MLC Defensive Australian Shares		11.12
International shares	Arrowstreet Capital		7.66
International shares	Walter Scott & Partners		10.12
Infrastructure	Macquarie Investment Management		2.47
Private Equity	MLC Global Private Equity		2.41
Alternative - defensive	MLC Multi Asset Real Return		4.85
Alternative - defensive	MLC Insurance-Related Investments		4.66
Alternative - defensive	MLC Derivatives		16.19
Alternative - defensive	MLC Opportunistic Growth Strategy		3.10
Australian fixed interest	Antares Fixed Income		10.73
Australian fixed interest	Metrics Credit Partners		1.37
Australian fixed interest	Janus Henderson Investors		5.20
International fixed interest	MLC Opportunistic Growth Strategy		6.21
International fixed interest	Wellington Management		1.91
International fixed interest	Western Asset Management		2.44
International fixed interest	Shenkman Capital Management		1.83
International fixed interest	TCW Asset Management		1.26
International fixed interest	Bentham		1.16
International fixed interest	Stone Harbor		0.74
International fixed interest	Muzinich & Co		0.94
International fixed interest	Oaktree Capital Management		1.17
Cash and short-term securities	Cash		2.44

Top holdings - Australian shares³

Holdings	Weight
CSL LIMITED	0.71%
BHP GROUP	0.59%
NATIONAL AUSTRALIA BANK	0.42%
RIO TINTO LTD	0.41%
MACQUARIE GROUP LTD	0.32%
SANTOS LIMITED	0.30%
COMMONWEALTH BANK OF AUSTRALIA	0.25%
WOODSIDE ENERGY GROUP LTD	0.25%
AUSTRALIA AND NEW ZEALAND BANKING GROUP LIMITED	0.17%
SONIC HEALTHCARE	0.17%

Top holdings - International shares

Holdings	Weight
ISHARES CHINA CNY BOND UCITS ETF	3.20%
MICROSOFT CORP	0.80%
ALPHABET INC-CL C	0.39%
APPLE INC	0.36%
MASTERCARD INC CLASS A	0.32%
ADOBE INC	0.31%
TJX COMPANIES INC NEW	0.29%
CISCO SYSTEMS INC	0.28%
OLD DOMINION FREIGHT LINE INC	0.28%
AUTOMATIC DATA PROCESSING INC	0.27%

1800 002 217

investorservices@ioof.com.au

www.ioof.com.au

Notes to the trust profile

- 1 The total estimated ongoing annual fees and costs includes the management fee, indirect costs, net transaction costs and any performance fees (shown if applicable). These costs are subject to change from time to time and may vary depending on changes to the composition of the underlying assets, changes in exposure to underlying investment managers and where any unusual or non-recurrent expenses are incurred. Please refer to the latest PDS and www.ioof.com.au for full details on fees and costs.

Important information: The information in this fund profile is issued by IOOF Investment Services Ltd (IISL) ABN 80 007 350 405, AFSL 230703, as Responsible Entity of the fund that is the subject matter of the fund profile (Fund). IISL is a company within the Insignia Financial group which consists of Insignia Financial Ltd ABN 49 100 103 722 and its related bodies corporate. IISL's contact details can be found on www.ioof.com.au. Past performance is not a reliable indicator of future performance. The information contained in this document is believed to be correct at the time of publication, however to the extent permitted by law, no liability is accepted for any loss or damage as a result of any reliance on the information it contains. This profile is not intended to represent investment or professional advice. The information does not take into account your individual objectives, financial circumstances or needs. You should assess whether the information is appropriate for you, having regard to your objectives, financial circumstances or needs. You should consider the relevant Product Disclosure Statement (PDS) and Target Market Determination (TMD) in deciding whether to acquire or to continue to hold the investment and consider talking to a licenced or appropriately authorised financial adviser before making an investment decision.